# Shamamo POS

**Helping Kenya's small traders know their numbers, keep their records and qualify for credit.**

Prepared for [Hon. Name], Member of Parliament, [Constituency] | From [Your Full Name], Mombasa

| 7.41M | ~1 in 5 | ~70% |
|---|---|---|
| MSMEs in Kenya | formally licensed | struggle to get credit |

## 1. The problem

Every day, thousands of duka, kiosk, salon and market traders in our area sell without knowing whether they made a profit. Sales sit in exercise books or in M-Pesa messages; stock runs out without warning; and when the trader asks a bank, SACCO or fund for a loan, there are no records to show. Of Kenya's 7.4 million small businesses, only about 1.56 million are formally licensed, and roughly 70% say credit is hard to get, mostly because of collateral and paperwork.

**Why now:** KRA now requires electronic tax invoices through eTIMS, and business customers want them so they can claim expenses. A trader who cannot issue a digital receipt starts to lose the better customers. The government is also actively prioritising MSME and digital solutions under BETA.

**Who feels it most:** owner-operated micro and small shops, often run by youth and women, with a basic Android phone and M-Pesa.

## 2. The solution

Shamamo POS is a Kenyan-built Android app. A trader opens it and can record a sale in seconds, keep track of stock, issue a receipt and see daily performance. Data is backed up in the cloud, so records survive a lost phone. Over time those records become a business history the trader can show to a lender or the taxman.

- **Saves money:** catches stock-outs, cash leakage and unrecorded credit.
- **Saves time:** no more end-of-day tallying by hand.
- **Builds credibility:** proof of trade for loans and tax compliance.
- **Easy to use:** designed for a first-time digital user on an ordinary phone.

## 3. What makes it different

The real competitor is the exercise book. Beyond that, there are POS apps such as Loyverse and locally sold systems such as Cute Profit POS, but many target larger shops, are priced or designed for bigger budgets, or assume the user already understands accounting. Shamamo POS is being built specifically for the smallest Kenyan trader: simple, priced in shillings, with M-Pesa and eTIMS on the roadmap and local onboarding support. Local ownership also means faster response to Kenyan tax and payment changes.

## 4. Market and business model

**Market:** 7.4 million MSMEs nationwide. Even 1% adoption is about 74,000 businesses. In our first phase we focus on Mombasa and the coast.

**Revenue:** freemium. Core POS is free; a low-cost monthly plan adds advanced reports, multi-user access, eTIMS invoicing and payment reconciliation. *Illustration only:* 1,000 users with 20% on a KES 500 plan is about KES 100,000 a month. Further income may come from lending referrals and county or programme licences.

**First 1,000 users:** (1) hands-on onboarding with 20-50 pilot shops; (2) trader associations, market committees, chamas and boda and matatu SACCOs; (3) youth ambassadors paid per active shop; (4) word of mouth from traders who see the daily summary; (5) county and Whitebox innovation hubs.

## 5. Where we are today

- Working Android application built with Flutter and Firebase.
- Preparing final production release: official app ID, cloud registration, launcher icon and secure release signing.
- Submitting to **Huduma Whitebox** (ICT Authority) as a BETA-aligned innovation.
- Next: Google Play launch and a guided merchant pilot.

## 6. What I am asking of you

- A **letter of support or endorsement** I can attach to my Whitebox and partner applications.
- **Introductions** to ward and constituency trader associations, the county trade office and the local innovation hub for a 20-50 shop pilot.
- **Visibility** at a constituency forum or youth and business event where traders can see the app.
- Your guidance on **county and national programmes** that support local digital innovators.

## 7. What success looks like

| In 6 months | In 3 to 5 years |
|---|---|
| App live on Google Play. 1,000 registered users and 200+ active weekly. 20-50 pilot shops with documented feedback. M-Pesa recording released; eTIMS integration under way. Whitebox evaluation completed. | A national platform serving tens of thousands of small businesses, with credit-readiness reports accepted by lenders, healthcare and agrovet modules, and a team of young Kenyans employed in development, support and field onboarding. |

**The outcome for our constituents:** traders who know their profit, keep their customers, qualify for loans and grow, using a solution built by one of their own.

Contact: [Your Full Name] | [Phone] | [Email]

Sources: KNBS MSME Survey 2016; Draft MSME Policy 2025; KBA 2021 MSME Survey; KRA eTIMS; Huduma Whitebox (ICT Authority).